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UNITED STATES BANKRUPTCY COURT

NORTHERN DISTRICT OF TEXAS

FORT WORTH DIVISION

In re: PrimaLend Capital Partners, LP, et al. Debtor. PRIME ASSET, LLC Plaintiff. v. PRIMALEND CAPITAL PARTNERS, LP, GOOD FLOOR LOANS LLC, LNCMJ MANAGEMENT, LLC, PCAP HOLDINGS, LP, AND MARK JENSEN Defendants.	Chapter 11 Case No. 25-90013 (MXM) Adversary Proceeding No. 26-_____

ADVERSARY COMPLAINT

Plaintiff, Prime Asset LLC ("Prime Asset"), by way of this adversary complaint against (i) PrimaLend Capital Partners, LP ("PCP"), Good Floor Loans LLC ("GFL"), LNCMJ Management, LLC ("LNCMJ"), and PCAP Holdings, LP ("PCAP" and, together with PCP, GFL, and LNCMJ,

"PrimaLend") and (ii) Mark Jensen ("Jensen" and, together with PrimaLend, the "Defendants"), hereby states as follows:

PRELIMINARY STATEMENT

1. This adversary complaint arises from the Defendants' systematic and unlawful actions to infiltrate and dominate Prime Asset's operations, leveraging this control to induce Prime Asset into entering transactions that burdened Prime Asset with excessive debt and underperforming loan portfolios—all in service of the Defendants' broader scheme to fraudulently inflate their own financial profitability by foisting underperforming loans on Prime Asset (and others). The Defendants have engaged in a pervasive pattern obfuscating the consequences of their dubious lending practices by transferring distressed assets into car dealership after dealership, with the intention of pushing off the realization of PrimaLend's own losses. Ultimately, this scheme collapsed, resulting in the underlying Chapter 11 Cases (as defined below).

2. Prime Asset operates a factoring business in the buy-here-pay-here ("BHPH") auto loan industry. Put simply, Prime Asset buys retail installment sales contracts ("RISCs") from car dealerships that entered into such contracts with their customers and, in exchange, Prime Asset provides the dealerships with financing. Since at least 2022, however, Prime Asset's business has been repeatedly impaired by the Defendants' exercising their control over Prime Asset to coerce Prime Asset into purchasing distressed notes from failed dealerships, including from PrimaLend's clients Auto Finance Center Holdings ("AFCH"), Your Car Store ("YCS"), and Automotive Services Finance ("ASF"). For example, in September 2022, PrimaLend brokered the transfer of near-valueless notes from PrimaLend's client AFCH to Prime Asset; these transfers were either constructively or actually fraudulent and had severe repercussions on Prime Asset's financial stability and health. Jensen, as CEO of PrimaLend, then orchestrated unauthorized transfers of nearly $38,000,000 in loans from Prime Asset to Auto One Acceptance ("AOA"), and directed the sale of approximately $4,100,000 in YCS receivables to AOA. On June 28, 2024, these receivables were then putatively resold back into Prime Asset without any formal or informal authorization by Prime Asset.

3. Upon information and belief, PrimaLend and Jensen repeatedly engaged in unregistered "broker" activity under the Securities Exchange Act of 1934 and the Texas Securities Act by taking so-called "advisory fees" for matching sellers of loans with buyers, including in 2018 when Prime Asset's predecessor-entity paid a "success fee" to an entity controlled by Jensen as a condition for entering into a transaction.

4. In December 2023, Jensen and PrimaLend directed Eric Ryan ("Ryan") to take control of Prime Asset. Shortly afterwards, in April 2024, Jensen coerced Ryan into purchasing the overpriced ASF portfolio, thereby significantly impairing Prime Asset's financial stability and reducing its borrowing base by nearly $500,000 in one day.

5. On June 28, 2024, without notice or consent, PrimaLend and Jensen unilaterally raised the interest rate on Prime Asset's revolving line of credit from 7.0% to SOFR + 9.50% (equivalent at that point to 14.8%), resulting in over $2,000,000 in additional interest expenses from June 28, 2024 through the present.

6. In a meeting on January 13, 2025, Jensen admitted to PrimaLend's substantial control over Prime Asset despite lacking formal legal authority: (a) Jensen claimed that Ryan's equity interests in Prime Asset in fact belonged to PrimaLend and (b) Jensen described himself as a board member making decisions for Prime Asset. In response, Ryan expressed concerns about coercion and management removals for non-compliance with PrimaLend's directives.

7. PrimaLend's excessive control and fraudulent transfers have acutely damaged (and continue to damage) Prime Asset's financial stability. Indeed, Prime Asset is currently threatened with foreclosure under the loans PrimaLend tortiously caused it to incur.

8. Prime Asset now brings claims for the following: (a) fraudulent transfer for a series of 2022 transactions shuffling money away from Prime Asset and into PrimaLend's coffers; (b) tortious interference for the excessive control PrimaLend wielded over Prime Asset and PrimaLend's widespread abuse of that control; (c) breach of fiduciary duty; (d) breach of good faith; (e) a judgment declaring the Defendants' transactions purportedly entered into on Prime Asset's behalf void and of no effect; (f) a declaratory judgment recognizing Prime Asset's right to offset any debts owed to the

Defendants based on any of the Defendants' tortuous conduct (notwithstanding PrimaLend's current attempt to sell all or substantially all of its assets free and clear of all claims and interests pursuant to 11 U.S.C. § 363); and (g) an order restraining the Defendants from foreclosing on, or seeking to foreclose on, those portions of Prime Asset's debt flowing from, and (potentially) offset by, the Defendants' tortious conduct.

JURISDICTION AND VENUE

9. The United States Bankruptcy Court for the Northern District of Texas (the "Court") has jurisdiction over the parties and the subject matter of this proceeding pursuant to §§ 157 and 1334 of title 28 of the United States Code.

10. Prime Asset confirms its consent, pursuant to rule 7008 of the Federal Rules of Bankruptcy Procedure, to the entry of a final order by this Court if it is later determined that this Court, absent consent of the parties, cannot enter final orders or judgments in connection herewith consistent with Article III of the United States Constitution.

11. Venue is proper pursuant to 28 U.S.C. §§ 1408 and 1409.

PARTIES

12. Plaintiff Prime Asset LLC is a Texas limited liability company with its principal place of business at 524 E Lamar Blvd Suite 100 Arlington, TX 76011.

13. Upon information and belief, Defendant PCAP Holdings, LP is a Texas limited partnership with its principal place of business at 3460 Lotus Drive, Suite 100, Plano, TX 75075.

14. Upon information and belief, Defendant PrimaLend Capital Partners, LP is a Texas limited partnership with its principal place of business at 3460 Lotus Drive Suite 100, Plano, TX 75075.

15. Upon information and belief, Defendant Good Floor Loans LLC is a Texas limited liability company with its principal place of business at 3460 Lotus Drive Suite 100, Plano, TX 75075.

16. Upon information and belief, Defendant LNCMJ Management, LLC is a Texas limited liability company with its principal place of business at 3460 Lotus Drive, Suite 100, Plano, TX 75075. LNCMJ is the managing entity and general partner of both PCAP and PCP.

17. Upon information and belief, Defendant Mark Jensen, a natural person residing in the state of Texas, is the Chief Executive Officer and 50% owner of LNCMJ and is the indirect owner of approximately 18% of PCAP.

18. On October 22, 2025 (the "Petition Date"), Defendants PCP, GFL, and LNCMJ filed voluntary petitions for relief under chapter 11 of title 11 of the United States Code (the "Bankruptcy Code") in this Court. On December 12, 2024, Defendant PCAP filed a voluntary petition for relief under chapter 11 of the Bankruptcy Code in this Court (together with PCP, GFL, and LNCMJ's bankruptcy proceedings, the "Chapter 11 Cases").

19. Prime Asset is a party in interest in the Chapter 11 Cases pursuant to 11 U.S.C. § 1109(b).

FACTUAL BACKGROUND

A. PrimaLend.

20. Under the direction of CEO Mark Jensen, PrimaLend operates one of the nation's largest lending operations targeted at BHPH dealerships. Under the BHPH model, auto dealers provide near-instant, point-of-sale financing (generally at high interest rates) to car purchasers who often do not qualify for a traditional bank loan.

21. BHPH transactions are generally conducted through RISCs, which outline the financing terms for the purchase and authorize the dealership to repossess the sold vehicle promptly in the event of default.

22. PrimaLend (through Defendant PCP) provides revolving lines of credit ("RLOCs") to its client dealerships for the purpose of originating (or purchasing) RISCs. Through Defendant GFL, PrimaLend also offers floorplan loans to assist client dealerships in acquiring vehicle inventory for sale.

23. Given the credit-challenged nature of BHPH customers, BHPH transactions feature a heightened rate of default. To remain profitable, BHPH dealerships must, therefore, be able to rapidly repossess, repair, and resell the vehicles securing their loans. As such, BHPH loans require continuous, hands-on, and expert monitoring and servicing.

24. PrimaLend has engaged in systemic aberrant lending practices, implementing a scheme that extends far beyond the wrongs committed against Prime Asset.

25. During periods when the BHPH industry was prospering, PrimaLend consistently encouraged dealerships to expand their loan portfolios beyond their servicing capabilities, supported by freely issued debt that they could not repay. On information and belief, PrimaLend deliberately ignored financial metrics of these dealerships that could have warned both parties of the inevitable collapse that would ensue.

26. PrimaLend's profligate lending inevitably pushed these dealerships into over-leveraged and over-advanced positions, where the value of their collections, repossessions, and inventory was far exceeded by their debts to PrimaLend. However, foreclosing on dealerships where PrimaLend had often invested millions or tens of millions of dollars would have risked compromising PrimaLend's reputation of financial success to the public, its lenders, and its clients.

27. PrimaLend's consistently chosen path for navigating this dilemma was, time and time again, to simply push it off into the future—loaning money to new dealerships or operators to purchase the distressed RISC notes from its failing clients, regardless of that dealership's or operator's ability to actually pay down the newly acquired debt.

28. As such, and to delay recognition of the inevitable losses stemming from its inappropriate lending practices, PrimaLend was in constant need of dealerships that it could persuade, induce, or pressure into purchasing distressed portfolios. These dealerships, in turn, would inevitably be left holding PrimaLend's bag of debt when the pyramid toppled.

29. At the same time, PrimaLend artificially inflated the value of its dealership-clients to conceal PrimaLend's precarious financial position from its lenders. This included, but was not limited to, (a) purchasing minimal-value assets from clients for over-inflated prices so that the ensuing loss to PrimaLend could be amortized over the course of years instead of being reported to lenders at one time, (b) directing its clients to borrow from one of PrimaLend's credit lines to pay off other PrimaLend credit lines in order to carefully manage the data presented to PrimaLend's lenders regarding its clients' performance, (c) "rebating" a portion of the interest payments that PrimaLend

received from its dealership-clients, which (i) artificially inflated those dealership-clients' top-line performances and borrowing bases (and, by extension, PrimaLend's own borrowing base with its lenders) but (ii) made little actual difference to those dealership-clients' financial fundamentals given their inability to repay the underlying debt, and (d) converting large quantities of dealership-client debt into subordinated debt to enable PrimaLend to manipulate the amount of outstanding senior debt it needed to report to its lenders for the purpose of its lender covenants.

30. By means of these tactics, PrimaLend was able to direct millions of dollars in cash distributions to Jensen (filtered through PCAP, in which Jensen holds an indirect limited partnership interest), which PrimaLend's lenders would not have permitted if PrimaLend and Jensen had taken timely and appropriate losses on distressed portfolios.

B. Prime Asset.

31. Prime Asset operates in the BHPH auto-dealing space, where it performs, or has performed, a wide variety of roles. Currently, the central plank of Prime Asset's business model is its Strategic Dealer Solutions ("SDS") business line.

32. SDS provides much-needed liquidity to retail BHPH dealers in 31 states. In exchange for upfront funding, SDS purchases and services RISCs from its dealership-clients—often with the aim of reselling those RISCs in bulk once they have been adequately "seasoned." Seasoning a RISC portfolio involves holding and servicing that portfolio for a sufficient period of time to enable bulk-purchasers to reliably determine the risk profile of the underlying contracts.

33. SDS's factoring-based model enables it to extend financing to dealerships that are too small to enter into an RLOC with PrimaLend. Moreover, because SDS's model does not require it to originate its own RISCs, ownership of SDS would not place PrimaLend in direct competition with the retail BHPH lenders who form the bread and butter of PrimaLend's client base. SDS, therefore, has long been viewed and described by Jensen as an attractive acquisition target and he has made repeated overtures seeking to persuade SDS's management to part with their ownership of it.

34. In addition to its factoring business, Prime Asset's considerable expertise in nationwide BHPH-loan servicing has enabled it to operate as the third-party servicer for multiple large BHPH

dealerships that lack the means (or licenses) to service their own loans. In that capacity, and at PrimaLend's urging, Prime Asset acts as third-party servicer for large dealership-clients of PrimaLend.

35. Prime Asset's servicing capabilities have grown in import to PrimaLend as, with the collapse of PrimaLend's BHPH-dealer client base, PrimaLend has been forced to take increased responsibility for the servicing of RISCs originated by PrimaLend's now-insolvent borrowers. As such, PrimaLend has grown increasingly committed to treating Prime Asset like a captive loan-servicer and, ultimately, in forcing Prime Asset's ownership to surrender their equity-interests in the company to PrimaLend.

36. Prime Asset's financial operations are supported by both an RLOC and a subordinated loan from PrimaLend, which serves as Prime Asset's sole lender. On February 28, 2019, Prime Asset secured a $35,000,000 RLOC from PrimaLend (the "RLOC Agreement", Exhibit A). Later that year, on November 27, 2019, Prime Asset obtained an $11,000,000 term loan, subordinated to the RLOC (the "Subdebt Agreement", Exhibit B). On September 1, 2022, PrimaLend increased Prime Asset's RLOC to $50,000,000 (the "RLOC Amendment", Exhibit C) and its Subdebt to $14,000,000 (the "Subdebt Amendment", Exhibit D).

37. At all relevant times, Jensen has been fully aware of, and taken full advantage of, the pervasive extent of his control over Prime Asset. Indeed, during a January 2025 conversation with Ryan, Jensen sought to convince Ryan to surrender his equity stake in Prime Asset, and Jensen emphasized that very control. While acknowledging that PrimaLend lacked de jure authority over Prime Asset's decision making, Jensen asserted that PrimaLend's "economic" control over Prime Asset gave PrimaLend a de facto equity stake in Prime Asset. Moreover, Jensen asserted that Ryan's equity was effectively held in trust for PrimaLend and that Jensen himself was akin to a de facto board member or company chairman. Jensen argued that Ryan was not losing anything by allowing PrimaLend to acquire Prime Asset's equity because Ryan's ownership was never truly his to begin with. Rather, PrimaLend allowed Ryan to maintain ownership of Prime Asset as an incentive to perform as CEO, when in reality PrimaLend effectively owned Prime Asset.

[Paragraphs 38 through 122 of the filing (filing pages 10 through 24, the remaining factual allegations and the first five counts) are omitted from this transcription. The text resumes at Count Six.]

COUNT SIX

(Declaratory Judgment – All Defendants)

Prime Asset incorporates all preceding and subsequent allegations as if fully set forth herein.

On June 26, 2024, without authority or proper documentation, Jensen unilaterally (despite having no equity or management interest in Prime Asset) caused Prime Asset to purchase from AOA approximately $18,000,000 in assets that were subject to over $35,000,000 in debt.

Jensen's unilateral action to transfer these debt tranches to Prime Asset without its consent renders the repurchase invalid.

Wherefore, Prime Asset respectfully requests a declaratory judgment that the repurchase of these tranches of debt from AOA is invalid and unenforceable.

COUNT SEVEN

(Declaratory Judgment – All Defendants)

Prime Asset incorporates all preceding and subsequent allegations as if fully set forth herein.

PrimaLend has asserted that Prime Asset is indebted to it under the RLOC and Subdebt Agreements, and that this debt extends to the full face value of those agreements.

Pursuant to Texas law, Prime Asset is entitled to offset the debts it owes to PrimaLend, if any, by the amount PrimaLend owes Prime Asset, including for claims of fraudulent transfer, tortious interference, breach of fiduciary duty, and bad faith.

Pursuant to 11 U.S.C. § 553(a), and barring exceptions not applicable here, nothing in the Bankruptcy Code "affect[s] any right of a creditor to offset a mutual debt owing by such creditor to the debtor that arose before the commencement of the case under this title against a claim of such creditor against the debtor that arose before the commencement of the case."

Wherefore, Prime Asset respectfully requests a declaratory judgment that its debts to the Defendants, if any, are subject to offset under 11 U.S.C. § 553(a) up to the full values of Prime Asset's claims as determined at trial.

COUNT EIGHT

(Order Restraining Foreclosure – All Defendants)

In reliance on Prime Asset's alleged default under the RLOC Agreement, PrimaLend has taken multiple steps towards foreclosing on Prime Asset's assets—including its demand that Prime Asset surrender all collateral and consent to the appointment of a receiver.

The Defendants' allegations of default, however, do not account for Prime Asset's aforementioned claims, and all amounts allegedly owed by Prime Asset must first be set off by Prime Asset's recovery on account of those claims.

Pursuant to Tex. Bus. & Com. Code § 9.625, this Court may "order or restrain collection, enforcement, or disposition of collateral on appropriate terms and conditions" wherever the proposed disposition would not comply with the Uniform Commercial Code (as enacted in Tex. Bus. & Com. Code § 9). Such compliance includes, of course, the existence of a valid default prior to any foreclosure.

Wherefore, Prime Asset respectfully requests an order, pursuant to Tex. Bus. & Com. Code § 9.625, restraining the Defendants from foreclosing on Prime Asset's property except to the extent that, following liquidation and setoff of Prime Asset's claims, Prime Asset retains net-liability towards the Defendants.

WHEREFORE, for the forgoing reasons, Prime Asset respectfully requests that this Court enter judgment against the Defendants:

(a) Voiding the September 2022 and October 2022 fraudulent transfers and ordering disgorgement of all funds improperly received by PrimaLend as a result of those transactions;

(b) Granting damages in an amount to be determined at trial, but not less than $45,000,000;

(c) Declaring that the AOA Transaction was void, that the transferred assets remain the property of AOA, and that all debts purportedly owed by Prime Asset to the Defendants resulting from the AOA transaction are null and void;

(d) Setting off all obligations owed by Prime Asset to any of the Defendants by the damages recovered by Prime Asset;

(e) Permanently enjoining the Defendants from collecting or seeking to collect on Prime Asset's collateral on the basis of the offset debt;

(f) Restraining the Defendants from foreclosing on Prime Asset's property under Tex. Bus. & Com. Code § 9.625;

(g) Awarding pre- and post-judgment interest;

(h) Awarding reasonable attorneys' fees; and

(i) Granting such other and further relief as this Court deems just and equitable.

Dated: January 7, 2026

Respectfully submitted,

MCDERMOTT WILL & SCHULTE LLP

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